Why These Compliance Rules Exist

And how far they actually reach, into the life of someone with no interest in finance

A companion to the Compliance Audit Data Automation project | Rahul Mistari

Where this all started

Most of the rules this project checks (EMIR and MiFID II in Europe, the Dodd-Frank reporting rules in the US, and similar rules in Australia, Hong Kong, and Singapore) exist because of the 2008 global financial crisis. Before that crisis, a huge amount of trading in complex financial contracts (derivatives) happened privately, between banks, with no central place recording who owed what to whom.

That mattered more than it sounds. When one large institution (Lehman Brothers) collapsed and another (AIG) had to be rescued by the US government, regulators and even the banks themselves did not have a clear picture of how their risks connected to each other. Nobody could quickly answer a simple question: if this one company fails, what else falls with it? That uncertainty made the crisis worse, and slower to contain, than it might otherwise have been.

In 2009, the G20 group of nations agreed that all derivative trades should be reported to regulators going forward, specifically so this kind of blind spot could not happen again. EMIR, MiFID II, the Dodd-Frank reporting rules, and their equivalents in Asia-Pacific are each region's own version of that same agreement.

What these rules are actually trying to prevent

Three different problems, stacked on top of each other:

Hidden risk. If regulators cannot see how much risk is building up in the system, they cannot step in early. They only find out once something has already broken.

Undetected wrongdoing. Complete, accurate trade records make it much harder to hide fraud, manipulate prices, or quietly disadvantage a client. Incomplete record-keeping is not proof of wrongdoing, but it does make wrongdoing easier to hide.

Unfair treatment of smaller participants. Rules like MiFID II's "best execution" requirement exist because, left unchecked, a firm handling someone else's trade has an incentive to route it wherever is most convenient or profitable for the firm, not necessarily where the client gets the best price.

Who is this actually protecting?

It helps to think of it as three layers, each one wider than the last.

Layer 1: the institution itself. Basic checks like the bookkeeping and contract governance rules in this project catch ordinary clerical mistakes before they become expensive problems.

Layer 2: the financial system. When every institution reports its trades, regulators can see risk accumulating across the whole market, not just inside one company, and can act before a local problem becomes a systemic one.

Layer 3: everyone else. This is the layer that is easy to miss, and the subject of the rest of this document.

How far down does this actually reach?

Someone with no bank account, no investments, and no job could reasonably say none of this affects them. Almost nobody is in that position. Here is where the reach actually stops, worked through concretely rather than asserted.

If you have a pension, a retirement account, or any kind of investment fund

Pension funds and retirement accounts do not sit in cash. They are invested through banks, asset managers, and funds, many of which use the same derivatives markets these rules govern, to manage risk on the fund's behalf. In 2008, when the financial system seized up, retirement accounts and pension funds around the world lost a significant share of their value in a matter of months, and many people close to retirement had to delay it. The reporting rules exist to make that kind of system-wide, poorly-understood buildup of risk visible earlier next time.

If you have a mortgage, a car loan, or a credit card

The interest rate you are offered and whether you can borrow at all depends on banks being willing and able to lend. When the financial system loses confidence in itself, as it did in 2008, lending does not just get more expensive, it can stop almost entirely, even for people with good credit and steady income. Keeping the financial system's risks visible is part of keeping ordinary lending functioning normally.

If you pay taxes

When a financial crisis becomes severe enough, governments have historically stepped in to prevent a wider collapse, using public money. That money comes from taxpayers, and it is spent regardless of whether any individual taxpayer has ever bought a stock or a bond. Rules designed to catch problems earlier, while they are still small and manageable, exist partly to make that kind of large-scale rescue less likely to be needed again.

If you have a job, especially at a company that borrows money

Most companies, not just banks, borrow money to operate: to cover payroll, buy inventory, or fund growth. When a financial crisis freezes lending, companies that depend on that credit can be forced to cut costs quickly, and jobs are often the first cost cut. The recession that followed the 2008 crisis pushed unemployment sharply higher in many countries, well beyond the financial sector itself.

If you ever buy or sell a stock, fund, or currency, even casually

This does not require being an active trader. Anyone with a workplace retirement plan, a savings app that invests spare change, or a simple brokerage account is a client whose trade should be handled fairly. MiFID II's data-completeness and best-execution style rules exist so that even a small, ordinary trade is priced fairly and properly recorded, not quietly deprioritized in favor of a larger client.

Where the reach genuinely stops

Someone entirely outside the modern financial and banking system, with no job that depends on credit, no pension, no savings, and no exposure to a taxed government budget, would be close to unaffected. In practice, that describes almost no one living in a country with a modern economy. For nearly everyone else, the connection is real but indirect: these rules rarely touch an individual person's life directly and visibly. Their purpose is to keep the system stable enough that most people never have a reason to notice it working.

A fair counterpoint

This is worth stating plainly rather than only presenting one side. Meeting these requirements costs real money: compliance staff, systems like the one in this project, and slower processes. Critics of extensive financial regulation argue that some of that cost is ultimately passed on to ordinary customers through fees, and that beyond a certain point, additional rules add friction without a proportional reduction in risk. Supporters argue that the cost of prevention is small compared to the cost of another crisis, and point to 2008 as the reason the rules exist at all. Reasonable people disagree about exactly where that balance sits; this document does not attempt to settle it, only to explain what the rules are trying to do and who ends up affected either way.
